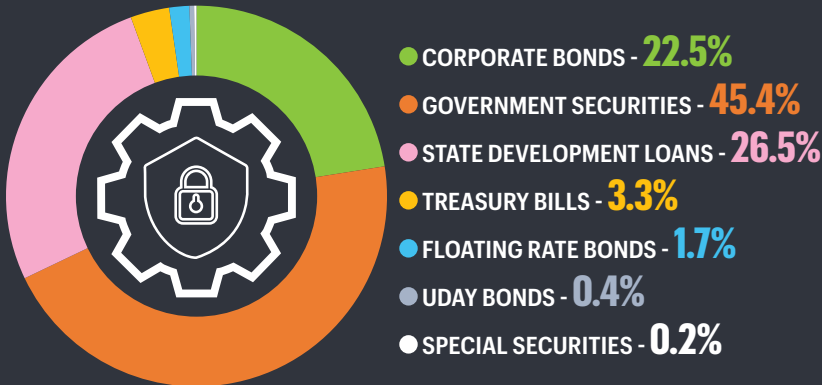


A SMALL SLICE

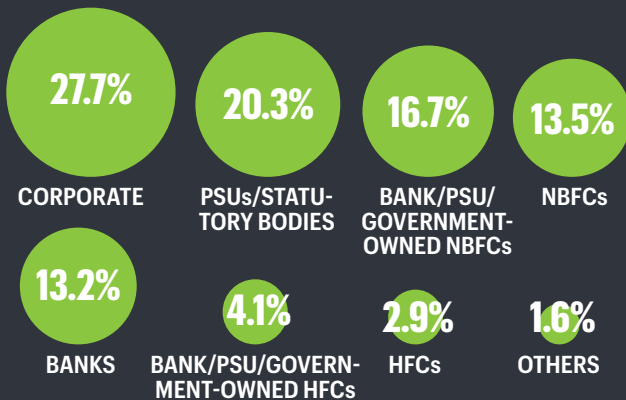
INDIA'S BOND MARKET IS DOMINATED BY GOVERNMENT SECURITIES. THIS REFLECTS LIMITED CORPORATE PARTICIPATION AND BANK-CENTRIC FINANCING STRUCTURE



SOURCE NISM REPORT

FINANCIAL INSTITUTIONS DOMINATE

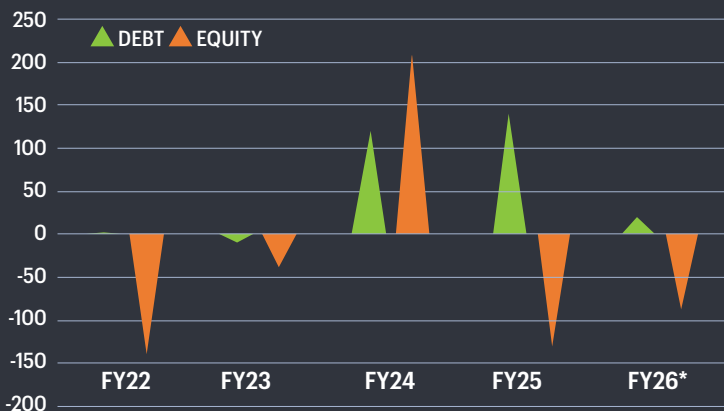
EVEN THE SMALL CORPORATE BOND MARKET IS SKEWED TOWARDS NBFCs AND OTHER FINANCIAL INSTITUTIONS, WHICH ACCOUNT FOR OVER 72% OF ISSUANCES



NOTE AS OF DECEMBER 2025 SOURCE SEBI

FPI FLOWS MATTER

THE RECENT SHIFT TOWARDS DEBT INFLOWS, EVEN AS EQUITY FLOWS REMAIN VOLATILE, REFLECTS RISING INTEREST IN INDIAN FIXED-INCOME ASSETS



NOTE VALUES IN ₹ '000 CRORE *TILL JAN 2026, SOURCE CMIE, NSDL

₹252
LAKH CRORE

SIZE OF THE INDIAN BOND MARKET, INCLUDING GOVERNMENT AND CORPORATE BONDS, AS OF NOVEMBER 2025

70%

RISE IN AUM IN DEBT FUNDS BETWEEN FY20 AND FY25 FROM ₹13.2 LAKH CRORE TO ₹22.4 LAKH CRORE

KEY MEASURES

WHAT THE BUDGET IS FIXING

Market making	Introduced a designated market-making framework to boost liquidity in the corporate bond secondary market
Total Return Swaps (TRS)	Union Budget FY27 proposes to launch total return swaps on corporate bonds, enabling investors to earn returns without owning the bonds outright — improving risk management and participation
Bond indices and derivatives	Plans include creating derivatives on bond indices to enhance price discovery and hedging tools for investors